

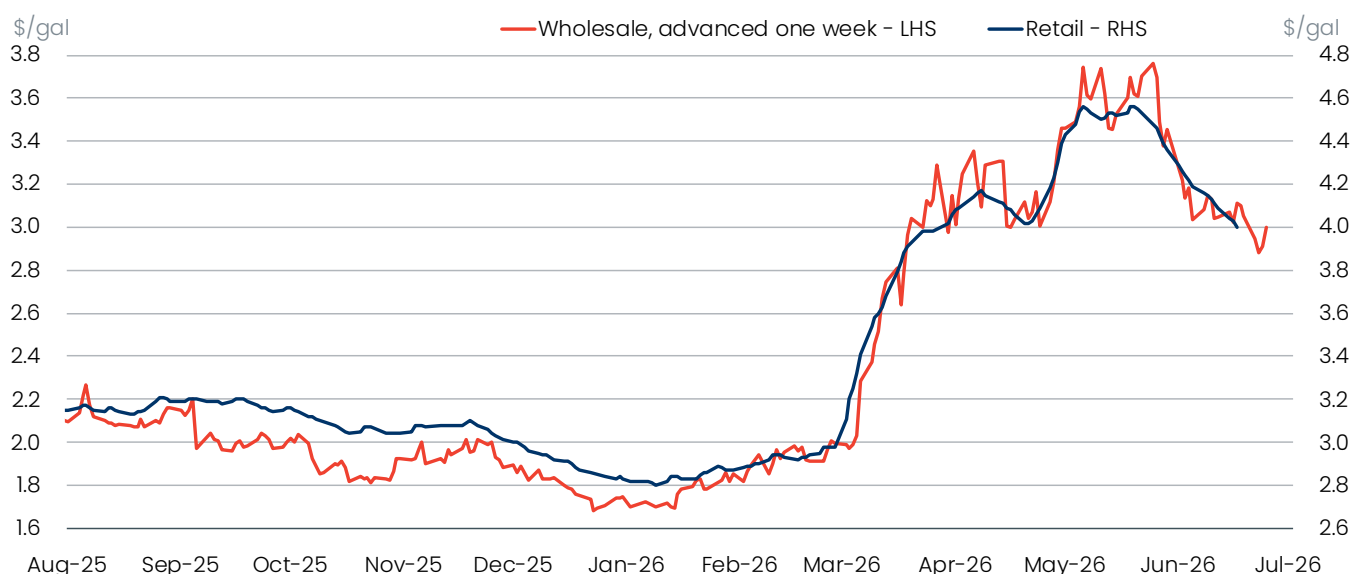
Iran deal takes some of the pressure off inflation

- We've lowered our US CPI inflation forecast for 2026 by a few tenths from 3.6% to 3.3% to reflect a lower path for global oil prices following the agreement reached with Iran. Our headline and core inflation forecasts are below the median projection from the Federal Reserve over the next few years, which is why we still expect the next move from the Fed will be a cut, rather than a hike as roughly half the Federal Open Market Committee expects.
- The drop back in gas prices means headline inflation will peak in May and lowers the risk of additional pass-through to core inflation. Attention has focused on the impact of rising energy prices on inflation, but we still think consumer spending will slow once the offsetting boost from fiscal stimulus wanes.
- Next week, the focus will be on May personal spending and durable goods data, which will highlight the resilience of economic activity so far. However, spending has come at the expense of a falling saving ratio, which suggests spending growth could slow over the coming months.

The movement of several tankers through the Strait of Hormuz following the signing of a memorandum of understanding between the US and Iran sharply reduces the odds of a more extreme scenario for oil prices this year. We have therefore lowered our energy price assumptions in our second June baseline, to be published on Friday.

Chart 1: Some relief at the pump

US: Gasoline prices



Sources: Oxford Economics, Haver Analytics

WTI crude prices have already fallen by a further \$10 per barrel this week to \$77pb. With physical oil flows and inventories likely to recover more slowly, we expect prices to fall only gradually from here, easing to below \$70pb by the end of 2026. We now think CPI inflation will average 3.3% this year, down from our previous forecast of 3.6%, though we've nudged up our 2027 and 2028 projections to reflect the earlier fall in oil prices than we previously assumed. The durability of the deal is a key risk to watch.

Assuming the deal holds, we think headline inflation likely peaked in May. Gasoline prices are on track to decline by more than 9% m/m in June, which will subtract 0.3ppts from headline CPI ([Chart 1](#)). A more moderate path for oil prices also lowers the risks around passthrough to other parts of the inflation basket.

While the decline in gas prices will reduce some pressure on consumers, we still anticipate spending will slow. As we've highlighted, the legacy of the much larger tax refund season continued to offset the burden of higher gas prices through May, but will flip to a net-negative for consumers by the end of summer. The personal saving rate has already fallen sharply and likely declined further in May.

We also think some of the optimism around the strength of the jobs market (or fear that it may soon become inflationary) is misplaced. Faster job growth doesn't mean [the labor market is tightening](#). Payroll gains have averaged 92,000 over the past six months, but a broader set of indicators – quits, vacancies, and the share of the unemployed finding work – remains weaker than a year ago and softer than in the balanced market of 2019.

With productivity growth above 2% and set to accelerate as AI adoption broadens, wage growth would need to climb from nearly 3.5% today toward 4.5% before it threatened the 2% inflation target. Based on current trends, wage growth suggests services inflation is slowing. Today's inflation problem is in energy and the AI goods buildout rather than labor.

A more opaque Fed leaves hawkish chatter unchecked

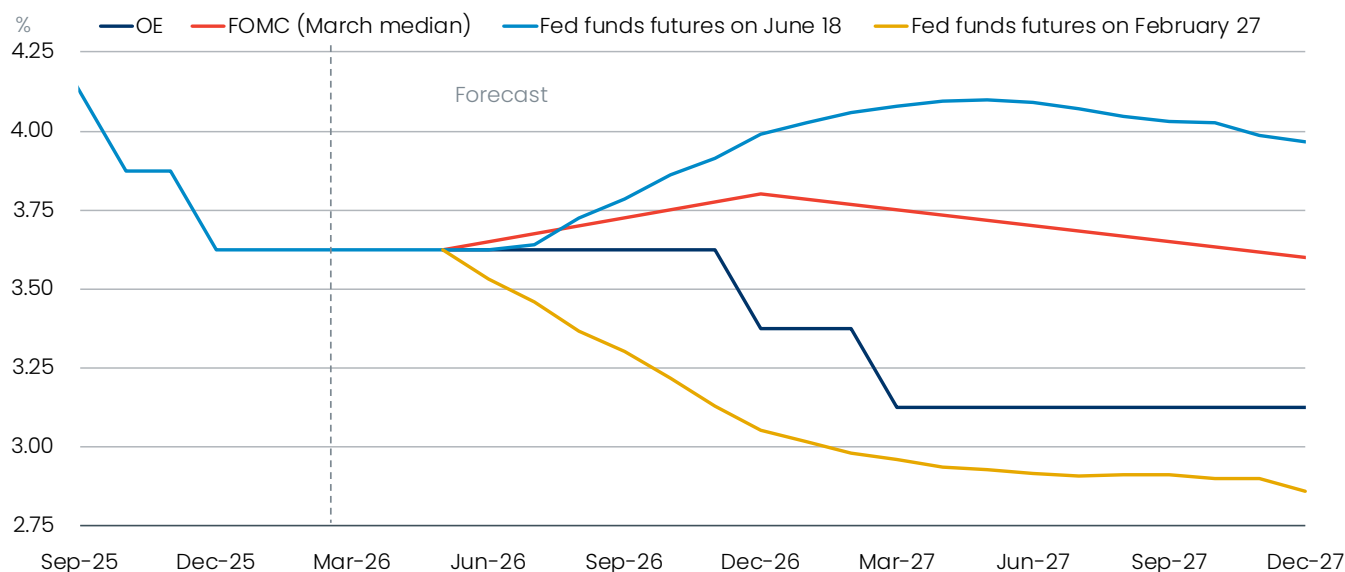
The other major event this week was Kevin Warsh's first meeting as Federal Reserve Chair. Scrapping forward guidance, introducing a new summary of economic projections, and repeatedly focusing on inflation at the post-meeting press conference marked a clear hawkish shift in the Fed. The FOMC is [almost equally divided](#) on whether to hike rates this year or leave them unchanged.

Warsh shifted sharply away from his predecessor's communication style, refusing to give any explicit guidance about the path for policy, and declining to give much away about the Fed's reaction function. We don't know where Warsh stands, but the central policy dilemma is still achieving consensus amid a split FOMC. This is the same problem former Chair (and current Board member) Jerome Powell faced, and we suspect it will be resolved in the same way – by incoming economic data.

Markets reacted to the more hawkish language and projections by fully pricing in an October hike, leaving us out on a limb in still expecting a cut this year ([Chart 2](#)). Our conviction that the Fed won't hike and that the next move will be a cut rests on inflation falling faster than the median FOMC projection as energy and tariff pressures fade in H2, which should shift the balance of risks back toward neutral. The more hawkish tone suggests it could take longer for that shift to play out on the FOMC and implies a risk that the cuts in our forecast could be pushed back. We'll reassess the forecast in our July baseline.

Chart 2: A hawkish shift

US: Fed funds rate projections



Sources: Oxford Economics, Federal Reserve, Bloomberg

The week in review

[May retail sales](#) data indicate that consumers remain resilient. While higher gasoline prices flattered the headline figure, the underlying data are still consistent with Q2 real consumer spending on track for a 2.2% annualized gain, well above the 1.3% in our baseline and the weather-depressed 1.4% pace of Q1. Outsized tax refunds – nearly 20% larger than a year ago and skewed toward later-filing, higher-income households – propped up spending, and that support will fade over the summer while gas prices remain elevated.

[May industrial production](#) softness in part reflects weakness in petroleum-reliant chemicals and plastics output, but we remain optimistic about the outlook for industry over the rest of 2026. Fiscal incentives continue to lift business equipment, while the AI buildout keeps computer and electronics output climbing.

[Inventory restocking](#) carried momentum into Q2, reinforcing our view that inventories will add to GDP growth this quarter. The bigger boost comes in H2, as lean customer inventories and oil stocks drawn down during the war are rebuilt. The main wildcard is trade policy, with the shift from Section 122 to Section 301 tariffs likely to inject volatility into the import and inventory data in the months ahead.

Just as starts overstated housing's strength in the spring, the 15.4% plunge in [May housing starts](#) overstates its weakness. The drop was concentrated in multifamily starts, where permits point to a June rebound. Meanwhile, single-family starts fell by a milder 1.9%. We expect starts to move sideways until lower mortgage rates spur activity later in the year.

[Homebuilder sentiment](#) slipped again in June, but the decline doesn't change our view that housing starts will be maintained for several more quarters. The binding constraint remains the overhang of completed unsold homes, still near mid-2009 levels, which builders must work down before single-family construction picks up.

The surprise 3.8% jump in [pending home sales](#) in May suggests the housing market has been more resilient than we anticipated. The gain came despite mortgage rates hitting a nine-month high, and because pending sales lead closings by one to two months, it signals higher existing home sales in June. Together with the rest of the Q2

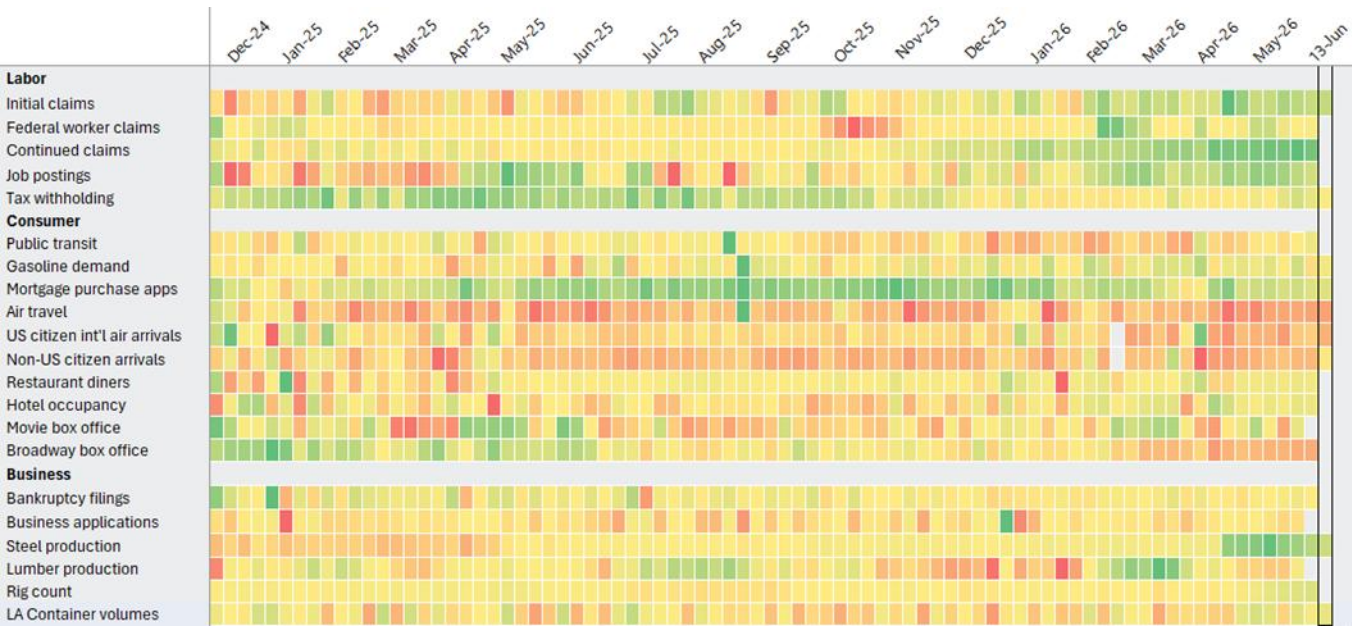
data, this will likely prompt us to revise residential investment to a modest gain from the small decline in our baseline.

Higher energy costs pushed [import prices](#) up 1.9% in May, but relief is on the way. Import prices are measured at the beginning of the month, so the May data don't capture the slide in fuel prices later in the month. The more durable pressure sits in nonfuel prices, up 3.7% over the past year, led by capital goods and AI-driven computer and electronics costs. That stickiness in core goods, alongside lingering tariff effects, is why we forecast the Fed will stay on hold for most of 2026.

The trend in [jobless claims](#) remains benign. Initial claims fell 4,000 to 226,000 during the week of June 13, but the four-week averages for initial and continued claims have edged up, partly on seasonal noise around the end of the school year. At an average just above 220,000, claims remain consistent with a labor market that has improved without overheating.

Our high-frequency dashboard shows that consumer spending continued to hold up well through mid-June ([Chart 3](#)). Non-citizen international arrivals – a proxy for international visitation – have increase due to the World Cup and are up 5% versus the same time in 2025, compared to 5% below year-ago levels during the spring.

Chart 3: High-frequency dashboard



The week ahead

The focus next week will be on data indicating the health of the real economy in May, which is likely to continue to benefit from the tailwind of tax cuts.

We expect a small bump in [new home sales](#) in May. We don't expect any significant revisions to [Q1 GDP](#).

For consumers, higher tax refunds continued to offset the drag from higher gasoline prices in May. Strong retail sales are consistent with a 0.6% rise in [personal spending](#). We expect a smaller 0.3% rise in [personal incomes](#), meaning the personal saving rate likely fell again in May. Our translation of the CPI, PPI, and import price data points to a strong 0.5% rise in [headline PCE prices](#) and a 0.4% increase in core prices. But with gas prices now falling back, May should represent the peak in inflation this year.

We expect **durable goods orders** declined in May, but most of the weakness was concentrated in volatile transportation orders. We expect another solid rise in underlying non-defense capital goods orders excluding aircraft, which should help translate into another strong gain in business equipment investment in Q2.

We think the **trade deficit** widened slightly in May, as the bounce in petroleum exports faded and import growth remained strong amid the AI buildout.

We expect a small dip in **initial jobless claims** in the week ending June 20. The four-week moving average of claims has moved higher, but we don't view that as the start of a trend signaling weaker labor market conditions.

We expect the rise in the **University of Michigan sentiment index** in June to be revised higher in the final reading. Gas prices have fallen considerably, and equity markets have continued to rise, which should reduce consumers' worries about their personal finances.

The week ahead

Table 1: The week ahead calendar

DATE	EVENTS	PERIOD	PREVIOUS	CONSENSUS	ESTIMATE
6/24/2026	New Home Sales	May	622k	640k	635k
6/25/2026	GDP q/q annualized	Q1	1.6%	1.7%	1.6%
6/25/2026	Personal Income	May	0.0%	0.4%	0.3%
6/25/2026	Personal Spending	May	0.5%	0.5%	0.6%
6/25/2026	Real Personal Spending	May	0.1%	--	0.1%
6/25/2026	PCE Price Index m/m	May	0.4%	0.5%	0.5%
6/25/2026	Core PCE Price Index m/m	May	0.2%	0.3%	0.4%
6/25/2026	Initial Jobless Claims	6/20/2026	226k	--	223k
6/25/2026	Durable Goods Orders	May P	8.0%	-6.5%	-5.7%
6/25/2026	Durables Ex Transportation	May P	1.1%	--	0.1%
6/25/2026	Cap Goods Orders Nondef Ex Air	May P	-1.0%	--	0.3%
6/26/2026	Advance Goods Trade Balance	May	-\$82.4bn	-\$84.0bn	-\$85bn
6/26/2026	U. of Mich. Sentiment	Jun F	48.9	--	52.0

Sources: Bloomberg, Federal Reserve, Oxford Economics

Key forecasts

Table 2: Latest US forecast overview

(ANNUAL PERCENTAGE CHANGES UNLESS SPECIFIED)						
	2023	2024	2025	2026	2027	2028
GDP	2.9	2.8	2.1	2.1	2.7	2.6
Private consumption	2.6	2.9	2.6	1.8	2.3	2.6
Fixed investment	3.8	3.5	2.7	3.4	3.6	3.9
Government consumption	3.0	3.3	0.6	1.1	2.1	1.2
Industrial production	-0.2	-0.6	1.1	1.1	1.4	3.1
PCE deflator	3.8	2.6	2.6	3.5	2.2	1.8
Unemployment rate (%)	3.6	4.0	4.3	4.3	4.3	4.2
Current a/c balance (% of GDP)	-3.3	-4.0	-3.6	-3.5	-3.5	-3.2
Government balance (% of GDP)	-6.1	-6.2	-5.8	-6.4	-6.4	-6.1

(ANNUAL PERCENTAGE CHANGES UNLESS SPECIFIED)						
	2023	2024	2025	2026	2027	2028
Central bank policy rate (% EOP)	5.375	4.375	3.625	3.375	3.125	3.125
10yr government bond yield (% EOP)	3.88	4.58	4.18	4.27	4.20	4.20
Broad trade-weighted dollar index	120.3	122.9	122.8	119.6	120.0	120.4

Source: Oxford Economics

Table 3: Latest quarterly forecasts for the US

	2026	2026	2026	2026	2027	2027	2027	2027
	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
GDP (% chg, saar)	1.6	2.1	2.1	2.8	2.9	2.8	2.7	2.6
CPI inflation (% year)	2.7	3.8	4.1	3.9	3.5	2.2	1.4	1.3
Core CPI inflation (% year)	2.5	2.8	2.7	2.7	2.7	2.5	2.3	2.3
PCE inflation (% year)	3.1	3.5	3.7	3.5	2.8	2.3	1.8	1.7
Core PCE inflation (% year)	3.1	3.2	3.1	3.0	2.6	2.3	2.1	2.1
10-year Treasury yield (% EOP)	4.3	4.4	4.3	4.3	4.2	4.2	4.2	4.2
Federal funds rate (% EOP)	3.625	3.625	3.625	3.375	3.125	3.125	3.125	3.125

Source: Oxford Economics

Latest Country Economic Forecast

[June 2026 – Good news is bad news for the Fed](#)

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